

BFS Synthetic Bank

Risk Management Report — Q2 FY2026

Reporting date: 30 September 2026

Important notice: Synthetic and fictional content for RAG assignment testing. Risk metrics and statements are not actual bank disclosures.

Credit Risk

- Credit risk is the potential for financial loss when a borrower or counterparty fails to meet contractual obligations.
- Portfolio monitoring includes delinquency trends, concentration, repayment behavior, collateral coverage where relevant, and indicators of increased credit risk.
- The gross NPA ratio was 2.1% at the reporting date.

Market Risk

- Market risk may arise from movements in interest rates, foreign-exchange rates, equity prices, and other market variables.
- Internal exposure limits and monitoring thresholds are used for material market-risk positions.

Operational Risk

- Operational risk may arise from process failures, human error, technology outages, fraud, cyber incidents, or external events.
- Controls include access management, business continuity planning, incident response, change management, and process monitoring.

Liquidity Risk

- Liquidity risk is the risk that the bank cannot meet financial obligations when they become due.
- Liquidity monitoring includes cash-flow projections, liquid-asset levels, funding concentration, and stress scenarios.
- The synthetic liquidity coverage ratio was 128% at 30 September 2026.

Risk Governance

- Risk responsibilities are distributed across business units, risk functions, senior management, and board-level oversight.
- Material risk issues are escalated according to defined governance procedures.